

Tempus AI, Inc.

TEM NASDAQ

Buy	\$52.47 ▲ 10.43%	12M Price Target \$68.00	52-Week Range \$41.73 – \$104.32	Market Cap \$9.42B
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TEM: Buy — Snapback +10.4% on FDA CDx, ASCO Tailwinds

WHAT'S CHANGED

- TEM ripped +10.4% on heavy volume (12.1M vs. ~9M avg) reclaiming the \$52 handle after a two-day -7% drawdown, with the move powered by sector-wide healthcare strength (XLV +3.0%) and follow-through from the FDA-cleared CDx / AI oncology platform upgrade and new prostate test/ASCO data flow.
- Smart-money divergence sharpens: P/C ratio collapsed to 0.17 with unusual June \$55/\$52/\$50 call sweeps (~\$2.7M notional, up to 4.8x OI), even as CEO Lefkofsky printed ~\$3.2M in insider sales 5/27 and short interest hit a record high — classic high-beta squeeze setup.

IMPLICATIONS

With no fresh filings, the tape is being driven by narrative reset: FDA CDx clearance plus ASCO readouts validate the Genomics + Data/AI flywheel that underpins the long thesis, while the Zacks "down 11.2% since earnings" framing captures the post-print de-rating that is now reversing. Record short interest into bullish options flow into a healthcare sector bid creates an asymmetric near-term squeeze pathway, but insider selling and the still-depressed 17%-of-52wk-range position argue that conviction must remain disciplined until Q2 print confirms Genomics volume acceleration and pharma data bookings.

VALUATION

At \$9.4B market cap on ~\$1.34B FY26E revenue, TEM trades ~7x forward EV/Sales — a discount to high-growth diagnostics/AI peers (NTRA ~9x, GH ~6x, PLTR >40x) but a premium to legacy dx given 30%+ growth and embedded data-licensing optionality. Our \$68 PT applies ~8.5x FY27E revenue, reflecting margin inflection and CDx mix shift; bull case to \$95 requires multiple expansion to 10x on accelerating Data revenue >40% YoY. Key contraction risk: Genomics gross margin stall or pharma deal lumpiness.

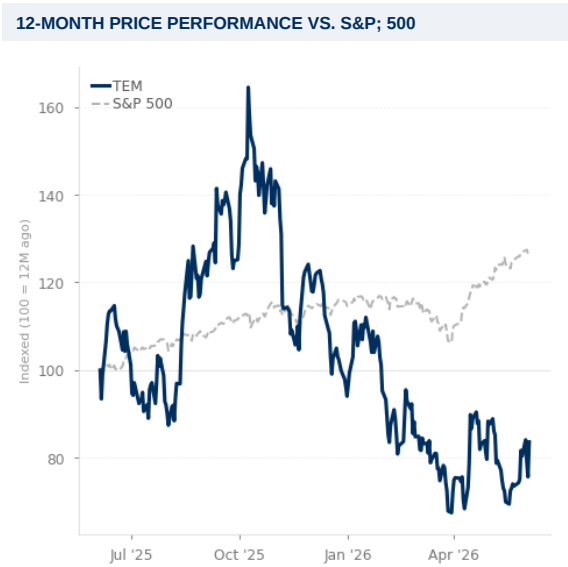
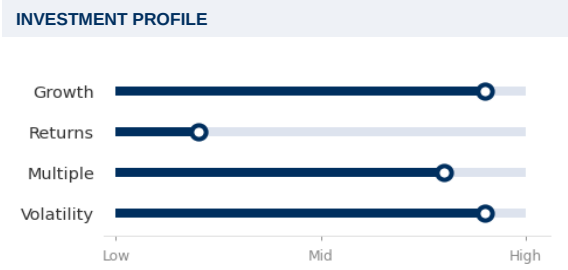
KEY RISKS

- Record short interest cuts both ways — a soft Q2 print or pharma data revenue miss accelerates downside to the \$40 52-wk-low retest.
- Persistent insider selling by CEO Lefkofsky (3 significant sales 5/27 totaling >\$3.2M) undermines sentiment despite strong institutional sponsorship (ARK 5.5%, BLK 5.1%, Baillie 5.0%).
- Reimbursement risk on new CDx assays and competitive pressure from Guardant, Natera, and Foundation Medicine in liquid biopsy/MRD.

RECENT NEWS

Why Is Tempus (TEM) Down 11.2% Since Last Earnings Report? Zacks · 2026-06-04 15:30

Key Data	
Price (USD)	\$52.47
12M Price Target	\$68.00
Upside / (Downside)	+29.6%
Market Cap	\$9.42B
FY2026E Revenue	\$1,340M
FY2027E Revenue	\$1,685M
FY2026E EPS	(\$1.05)
FY2027E EPS	(\$0.55)
Fwd P/E	N/M



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$58.00	\$53.00	\$44.00
6 Months	\$75.00	\$62.00	\$40.00
1 Year	\$95.00	\$68.00	\$35.00
2 Years	\$130.00	\$85.00	\$30.00
5 Years	\$220.00	\$125.00	\$22.00
10 Years	\$425.00	\$210.00	\$15.00

SECTOR INTELLIGENCE

HOT SECTORS: Healthcare, Financials

COLD SECTORS: Communication Services, Utilities

ROTATION WATCH: Healthcare's +3.0% single-day surge with Financials confirms a risk-on rotation into rate-sensitive growth and biotech/dx names; if 10Y yields stabilize, AI-healthcare convergence plays should continue to lead.

BYPRODUCT PLAY: Secondary beneficiaries include CDx-adjacent infrastructure (ILMN sequencers, EXAS screening) and AI-pharma partners (RXRX, SDGR) that monetize the same multi-modal oncology dataset thesis TEM is pioneering.

OUTPERFORMERS & PEER CONTEXT

- NTRA (Natera): MRD/Signatera volume growth >50% YoY driving sustained premium to dx peers and serving as the bull-case comp for TEM's MRD ambitions.
- VRTX (Vertex): Cash-generative biotech leadership with pipeline optionality; demonstrates the margin endpoint TEM needs to reach to justify multiple expansion.

TEM CONTEXT: TEM is lagging precision-dx peers YTD at 17% of 52-week range vs. NTRA/GH closer to highs, but today's +10.4% on 1.5x avg volume suggests early relative-strength reversal — needs to break \$54.50 to confirm trend change.

INVESTMENT STRATEGY

7/10 Conviction Score

Position Size: 2-4% of portfolio

Entry Points: \$47-50 on pullbacks; add over \$54 breakout

Time Horizon: 12-24 months

Thesis Invalidation: Revenue miss >10%, Genomics gross margin <50%, or loss of major pharma data partner

Hedging: Pair short vs. GH or NTRA; or June \$45 puts against core